Type MS · Preparing a statement of financial position after adjustments

Answer 1 of 6 · Question 2 part b · 12 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

2(a) **Award marks as indicated.**

Taylor

Income statement for the year ended 31 March 2025

	$	$	
Gross profit		419 250	**(1)**
Profit on disposal (of motor vehicle)		800	**(1)**
Provision for irrecoverable debts		150	**(1)**
		420 200	
Expenses			
Lighting and heating	10 800		
Irrecoverable debts	250		
Sundry expenses	39 630		
Wages and salaries	252 000		**(1)**
Depreciation – fixtures and fittings	5 000		**(1)**
Depreciation – motor vehicles	2 560		**(1)**
		310 240	**(1)**
Profit for the year		109 960	**(1of)**

(8)

Type MS · Preparing a statement of financial position after adjustments

Answer 1 of 6 · Question 2 part b · 12 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Preparing a statement of financial position after adjustments

Answer 1 of 6 · Question 2 part b · 12 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

2(b) **Award marks as indicated.**

Taylor
Statement of financial position at 31 March 2025

Assets	**$**	**$**	**$**	
Non-current assets				
Land and buildings	250 000	-	250 000	
Fixtures and fittings	50 000	15 000	35 000	**(1)**
Motor vehicles	20 000	9 760	10 240	**(1)**
			295 240	**(1)**
Current assets				
Inventory		35 200		
Trade receivables		11 400		**(1)**
Cash in hand		1 120		
			47 720	**(1of)**
Total assets			342 960	**(1of)**
Equity and liabilities				
Equity				
Opening equity		250 000		
Profit for the year		109 960		**(2/1of)**
Drawings		(50 000)		
Total/closing equity			309 960	**(1of)**
Current liabilities				
Trade payables		9 800		
Other payables		21 000		**(1)**
Bank overdraft		2 200		**(1)**
			33 000	
Total equity and liabilities			342 960	**(1of)**

(12)

Question	Answer	Mark

Type MS · Preparing a statement of financial position after adjustments

Answer 1 of 6 · Question 2 part b · 12 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

Number		
2(c)	**Award up to 2 marks for reference to each concept – (maximum 2 concepts). Award 1 mark for an overall conclusion.** **Sample answer** If Taylor changes his depreciation policy, he would not be complying with the **consistency concept (1)** which states that once a method has been selected this should be applied consistently year on year **(1).** As depreciation is an application of the **matching concept (1)** the method chosen should reflect the contribution the asset makes towards the revenue earned from that asset which may not be the case if he changes **(1)** As depreciation is an application of the **prudence concept (1)** the method chosen should reflect that profit should not be overstated which may not be the case if he changes **(1)** I would advise him not to change his depreciation policy **(1).** **Accept any other appropriate responses**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Preparing a statement of financial position after adjustments

Answer 2 of 6 · Question 1 part b · 5 marks

2019 JUN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1(a)	**Award marks as indicated.**	**(20)**

Type MS · Preparing a statement of financial position after adjustments

Answer 2 of 6 · Question 1 part b · 5 marks

2019 JUN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Award one mark for all correct labels.

Yu Win

Income statement for the year ended 31 May 2018

	$	$	
Revenue	329 500		**(1)**
Returns inwards	(15 500)		**(1)**
		314 000	
Cost of sales			
Opening inventory	37 150		**(1)**
Purchases	185 375		**(1)**
Returns outwards	(12 500)		**(1)**
Goods for own use	(2 500)		**(1)**
Carriage inwards	3 625		**(1)**
Closing inventory	(43 950)		**(1)**
		(167 200)	**(1 of)**
Gross profit		146 800	**(1 of)**
Other income			
Allowance for doubtful debts		750	**(1)**
Discount received		1 250	**(1)**
		148 800	**(1of)**
Expenses			
Loss on disposal	225		**(1)**
Depreciation - Fixtures and fittings	625		**(1)**
- Motor vehicles	5 645		**(1)**
General expenses	23 250		**(1)**
Wages and salaries	40 000		**(1)**
		(69 745)	
Profit for the year		79 055	**(1 of)**

Question number	Answer	Mark

Type MS · Preparing a statement of financial position after adjustments

Answer 2 of 6 · Question 1 part b · 5 marks

2019 JUN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

1(b)

Award marks as indicated.

Yu Win

Statement of financial Position at 31 May 2018

	$	**$**	**$**
Assets			
Non-current assets	Cost	Accumulated depreciation	Carrying value
Fixtures and fittings	12 500 **(1)**	3 750	8 750 **(1of)**
Motor vehicles	70 000 **(1)**	19 195	50 805 **(1of)**
			59 555 **(1)**

(5)

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing a statement of financial position after adjustments

Answer 3 of 6 · Question 1 part b · 9 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

1(a) **Award marks as indicated.**

Thomas
Income statement for the year ended 31 March 2021

	$	$	
Revenue		425 000	**(1)**
Cost of sales			
Opening inventory - finished goods	27 500		
Production cost	300 000		**(1)**
Closing inventory - finished goods	(30 000)		**(1)**
		(297 500)	**(1)**
Gross profit		127 500	**(1of)**
Expenses			
Administrative expenses	40 000		**(1)**
Carriage outwards	2 745		**(1)**
Depreciation charge-office equipment	3 200		**(1)**
Provision for irrecoverable debts	500		**(1)**
Office rent	27 000		**(1)**
		(73 445)	
Profit for the year		54 055	**(1of)**

(11)

Type MS · Preparing a statement of financial position after adjustments

Answer 3 of 6 · Question 1 part b · 9 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	(9)

Thomas
Statement of financial Position at 31 March 2021

	$	$	$
Non - current assets	Cost	Accumulated depreciation	Carrying value
Plant and machinery	200 000	97 600	102 400 **(1)**
Office equipment	25 000	12 200	12 800 **(1)**
	225 000	109 800	115 200 **(1of)**
Current assets			
Inventories			
Raw materials	25 000		
Work in progress	11 000		
Finished goods	30 000	66 000 **(1)**	
Trade receivables	60 000 **(1)**		
Provision for irrecoverable debts	(3 000)		
		57 000 **(1)**	
Other receivables		5 000 **(1)**	
Cash in hand		800 **(1)**	
			128 800
Total Assets			244 000 **(1of)**

Type MS · Preparing a statement of financial position after adjustments

Answer 3 of 6 · Question 1 part b · 9 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for overall conclusion.** **Sample answer** The current ratio has **improved** above the benchmark of 2:1 **(1)** indicating that he can **meet his short term debts** as they fall due **(1)** The liquid (acid test) ratio has also **improved** above the benchmark of 1:1 **(1)** indicating that he can meet his short term debts as they fall due **without the need to sell his inventory (1)** Yes, Thomas's statement is correct **(1)** **Accept any other appropriate responses**	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Preparing a statement of financial position after adjustments

Answer 4 of 6 · Question 2 part b · 8 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b in this mark scheme extract

2(a)

Award marks as indicated.

Ali

Income statement for the year ended 30 April 2022

		$	$
Income			72 160 **(1)**
Wages		15 710 **(1)**	
Fuel	**W1**	8 310 **(2)**	
Insurance		550 **(1)**	
Depreciation		6 000 **(1)**	
Office rent and rates	**W2**	7 200 **(2)**	
Irrecoverable debts		70 **(1)**	
Provision for irrecoverable debts		20 **(1)**	
Bank interest		40 **(1)**	37 900
Profit for the year			34 260 **(1of)**

W1 $8 310 **(2)**

$8 140 + ($480 - $310) **(1)** = $8 310 **(1of)**

W2 $7 200 **(2)**

$7 800 + ($600 - $1 200) **(1)** = $7 200 **(1of)**

(12)

Type MS · Preparing a statement of financial position after adjustments

Answer 4 of 6 · Question 2 part b · 8 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated.**	

Ali
Statement of financial position at 30 April 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Motor vehicle	34 000	18 000	16 000 **(1of)**
Current assets			
Trade receivables	3 200		
Provision for irrecoverable debts	(160)	3 040 **(1of)**	
Other receivables		1 310	4 350 **(1of)**
Total assets			20 350
Equity and liabilities			
Equity			
Opening equity		17 100 **(1)**	
Profit for the year		34 260	
Drawings		(35 350)	
Total equity			16 010 **(1of)**
Non-current liabilities			
Bank loan			1 800 **(1)**
Current liabilities			
Other payables		480	
Bank overdraft		2 060	
			2 540 **(1)**
Total liabilities			4 340
Total equity and liabilities			20 350 **(1of fb)**

(8)

Type MS · Preparing a statement of financial position after adjustments

Answer 4 of 6 · Question 2 part b · 8 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
2(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Writing off an irrecoverable debt ensures that the net profit/profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for explaining the concept plus 1 mark as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Providing for depreciation ensures that the costs of the motor vehicle are matched with the income/benefits earned during the same period **(1).** **Accept any other appropriate responses.**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Preparing a statement of financial position after adjustments

Answer 5 of 6 · Question 2 part a · 10 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

Number		
2 (a)	**Award marks as indicated.**	

Bob
Statement of Financial Position at 29 February 2024

	$	$	$
Assets			
Non-current assets			
Fixtures and fittings		11 900	
Motor vehicles		15 400	
			27 300**(1)**
Current assets			
Inventory		8 531	
Trade receivables	8 490**(1)**		
Allowance for doubtful debts	(346)		
		8 144**(1)**	
Other receivables		600**(1)**	
Cash at bank		2 198	
Cash in hand		289	
			19 762**(1)**
Total assets			47062**(1of)**
Equity and liabilities			
Equity			
At 1 March 2023		30 000	
Profit for the year		8 083	
Drawings		(5 552)	
Total equity			32 531**(1)**
Non-current liabilities			
Bank loan (2028)			10 000**(1)**
Current liabilities			
Trade payables		4 320	
Other payables		211	
			4 531**(1)**
Total liabilities			14 531
Total equity and liabilities			47062**(1of)**

(10)

Type MS · Preparing a statement of financial position after adjustments

Answer 5 of 6 · Question 2 part a · 10 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(b)(i)	**Award marks as indicated.** **Current (working capital) ratio** Current assets/current liabilities **(1)** 4.36:1 **(1of)** **Liquid (acid test) ratio** Current assets – inventory/current liabilities **(1)** 2.48:1 **(1of)**	**(4)**

Question Number	Answer	Mark
2(b)(ii)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for conclusion.** **Sample answer** **Current ratio** The current ratio indicates that the business is able to meet its short-term debts **(1)** however as the figure exceeds the benchmark of 2:1 this indicates poor management of the working capital. **(1)** **Liquid ratio** The liquid ratio indicates that the business is able to meet its short-term debts without having to sell its inventory **(1)** however the figure exceeds the benchmark of 1:1 which may indicate an excessive amount of resource tied up in either trade receivables or in the business bank account. **(1)** **Conclusion** Although both ratios indicate a positive liquidity position Bob should not be satisfied as the business needs to take action to return to the benchmark for each ratio **(1)** **Accept any other appropriate responses**	**(5)**

Type MS · Preparing a statement of financial position after adjustments

Answer 5 of 6 · Question 2 part a · 10 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to two marks for correct difference.** **Sample answer** Profitability refers to the ability of a business to generate income relative to its expenditure **(1)** whereas liquidity refers to the ability of a business to pay its debts **(1).** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(d)	**Award 1 mark for identifying the correct concept plus up to three marks for development.** **Sample answer** **Concept** Accruals/Matching **(1)** **Explanation** The accruals concept states that the revenue of an accounting period must be matched against the costs of the same period **(1)** By adjusting for other receivables and other payables a business will be able to present a more accurate view of the profit or loss for the year **(1)** and a more accurate view of the financial position of the business **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 2 = 25 MARKS

TOTAL MARKS FOR PAPER = 50 MARKS

Type MS · Preparing a statement of financial position after adjustments

Answer 6 of 6 · Question 2 part c · 10 marks

2025 JUN · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(a) (i)	**Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.** The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)**	**(3)**

Question Number	Answer	Mark
2(a) (ii)	**Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.** **Sample Answer** The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
2(b)	**Award marks as indicated** $36 784 **(5) W** **Working**	**(5)**

	$	
Draft profit for the year	37 800	
Rental income in advance	(650)	**(1)**
Goods for own use	280	**(1)**
Depreciation understated	(400)	**(1)**
Provision for irrecoverable debts	(246)	**(1)**
Revised profit for the year	36 784	**(1)**

Type MS · Preparing a statement of financial position after adjustments

Answer 6 of 6 · Question 2 part c · 10 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks as indicated.**	**(10)**

Ruhi
Statement of financial position at 31 March 2025

Assets	**$**	**$**	
Non-current assets		21 420	**(1)**
Current assets			
Inventory	14 650		
Trade receivables	12 054		**(1)**
Other receivables	330		
		27 034	
Total assets		48 454	**(1of)**
Equity and liabilities			
Equity			
Opening equity	23 900		
Profit for the year	36 784		**(1of)**
Drawings	(32 580)		**(1)**
Total equity		28 104	**(1of)**
Non-current liabilities			
Bank loan		9 500	**(1)**
Current liabilities			
Trade payables	8 660		
Other payables	2 030		**(1)**
Bank overdraft	160		
		10 850	
Total liabilities		20 350	**(1of)**
Total equity and liabilities		48 454	**(1of)**

Type MS · Preparing a statement of financial position after adjustments

Answer 6 of 6 · Question 2 part c · 10 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.** **Sample Answer** While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**. The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).** Overall profitability has deteriorated/improved over the three years **(1)** **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)